Changing Global Linkages: A New Cold War?

Gita Gopinath et al., *Journal of International Economics*, 153, 2025.

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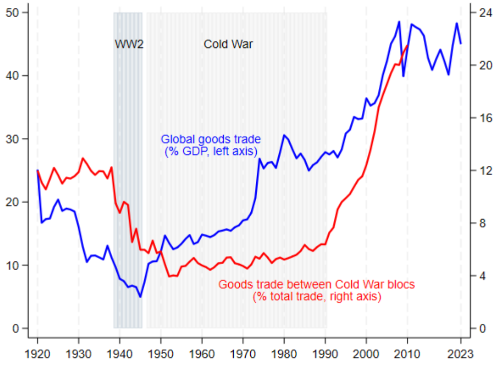
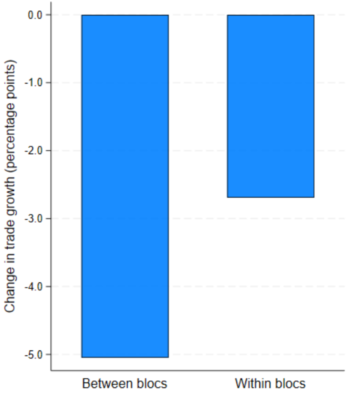
Introduction



Aggregate trade has not collapsed. Fragmentation can occur beneath a high and stable global trade to GDP ratio. The Cold War is the historical case where global openness rose while East West trade remained politically constrained.

Introduction



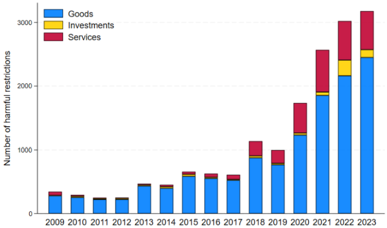
Trade growth falls more between geopolitical blocs than within blocs after the Ukraine war. The relevant outcome is the relative performance of politically distant links, not aggregate trade growth alone.

Key Questions

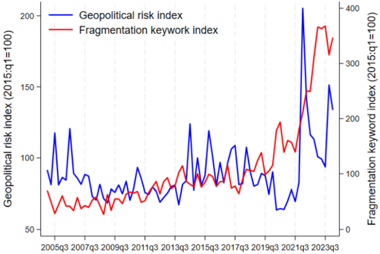
- Is fragmentation the reality?
- How serious is the fragmentation compare to the Cold War?
- What is the role of nonaligned countries?

Introduction

Figure S1.1: Rising Fragmentation Pressures



(a) Harmful Restrictions on Trade and Investment



(b) Geopolitical risk and Fragmentation indexes

Notes: Panel A plots the number of harmful restrictions on trade and investment per year. Panel B plots the geopolitical risk developed by Caldara and Iacoviello (2022) (Data downloaded from https://www.matteoiacoviello.com/gpr.htm on September 2024) and the fragmentation risk index, which measures the average number of sentences, per thousand earnings calls, that mention at least one of the following keywords: deglobalization, reshoring, onshoring, nearshoring, friend-shoring, localization, regionalization.
Sources: Caldara and Iacoviello (2022); Global Trade Alert; NL Analytics; and authors' calculations.

Data

Object	Source	Role in the argument
Goods trade	Trade Data Monitor, TRADHIST, CEPII	Current bilateral trade and Cold War comparison
FDI	fDi Markets announced greenfield projects	Investment sorting, mainly using project counts
Portfolio	IMF CPIS bilateral holdings	Financial sorting through portfolio shares
Geopolitical distance	UN voting ideal point distance	Define within bloc, between bloc, and non-aligned pairs

Bloc classification

- Wider definition: countries are assigned using ideal point distance from the United States and China.
- Narrower definition:
  - West Bloc: United States, Europe, Canada, Australia, and New Zealand;
  - East Bloc: Belarus, China, Eritrea, Mali, Nicaragua, Russia, and Syria.

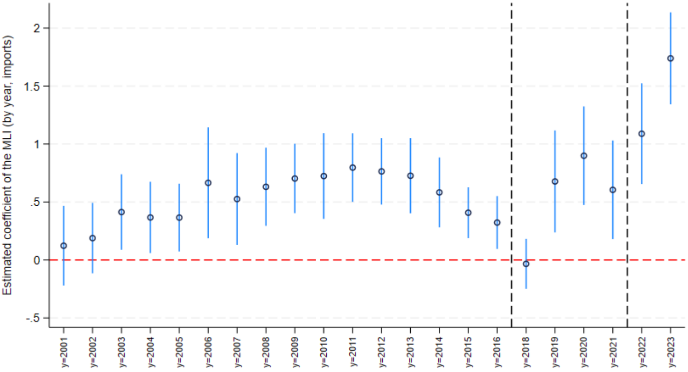
The estimates are conditional on a political map. The wider definition uses continuous geopolitical distance, while the narrow definition asks whether the result survives a more conservative bloc assignment.

Reallocation: The Modified Lilien Index

$$MLI_{rt} = \sqrt{\sum_i S_{irt} \left[(\ln x_{irt} / \ln x_{irt-1}) - (\ln X_{rt} / X_{rt-1}) \right]^2}$$

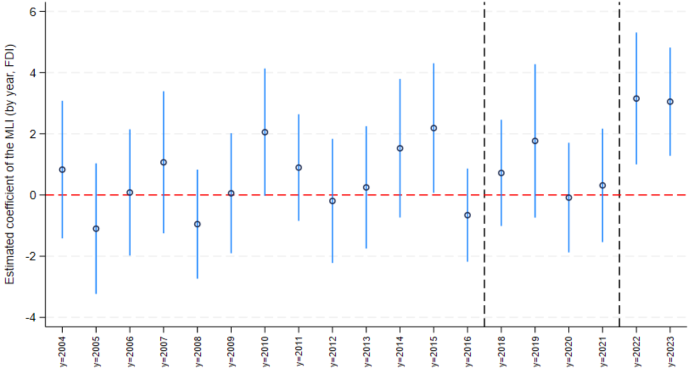
- x_{irt} is imports or FDI from partner i into country r.
- X_{rt} is total imports or FDI of country r.
- S_{irt} is the share of trade or FDI from partner i to country r.
- The index is zero if all partners grow at the same rate as total imports or FDI.

Reallocation across import and FDI sources rises after 2022



The import source Modified Lilien Index rises sharply in the post 2022 period, especially for advanced economies. The paper treats this as the first sign that firms and countries are changing sourcing partners.

FDI source reallocation shows the same timing



FDI project sourcing also becomes more dispersed after 2022. This matters because investment decisions are forward looking and indicate expected changes in production geography.

Reallocation across Economies

Notes: The table reports the coefficients from regressing the Lilien Index computed on the value of imports (panel A) and FDI (panel B) on indicators for different time periods, with 2003-2007 being the excluded period. Column (1) includes all countries in the sample, column (2) only advanced economies, while column (3) includes only emerging markets and developing economies. In column (4) the regression is based on the sample of countries hypothetically aligned with the U.S./EUR, while the remaining countries are in column (5). Standard errors in parenthesis are clustered at the country level. ***, **, and * denote significance at the 1%, 5%, and 10% levels, respectively.

	(1) All	(2) AEs	(3) EMDEs	(4) US bloc	(5) Others
Panel A. Trade flows					
2008-2012	0.3388**	0.4303***	0.2727	0.3975***	0.2856
	(0.135)	(0.123)	(0.189)	(0.120)	(0.200)
2013-2021	0.0736	0.4728***	-0.1270	0.2748	-0.0622
	(0.119)	(0.165)	(0.155)	(0.164)	(0.163)
2022-2023	0.9899***	1.4318***	0.7507***	1.5973***	0.6116**
	(0.209)	(0.243)	(0.285)	(0.245)	(0.294)
Observations	2,639	785	1,854	893	1,746
R^2	0.491	0.447	0.455	0.403	0.463
Panel B. FDI flows					
2008-2012	0.1136	-1.0572	0.9119	-0.5016	0.6639
	(0.654)	(0.930)	(0.870)	(0.870)	(0.953)
2013-2021	0.4424	-0.6077	1.1596	-0.3118	1.0977
	(0.672)	(1.039)	(0.865)	(0.919)	(0.964)
2022-2023	2.8543***	5.6496***	1.1920	4.8882***	1.2284
	(0.978)	(1.787)	(1.041)	(1.459)	(1.258)
Observations	1,504	577	927	665	839
R^2	0.287	0.285	0.298	0.274	0.302
Country FE	Y	Y	Y	Y	Y

Fragmentation: Gravity model

$$
\begin{aligned}
Y_{sdt} \quad = \quad & \beta_1(\text{Between Blocs}_{sd} \times \text{Post}_t) + \beta_2(\text{Nonaligned}_{sd} \times \text{Post}_t) \\
& + \delta_{sd} + \tau_{st} + \phi_{dt} + \varepsilon_{sdt}
\end{aligned}
$$

- Y_{sdt}: cross-border flows from origin s to destination d at time t, such as bilateral trade value or FDI amount.
- Between Blocs_{sd}: dummy, 1 if origin s and destination d belong to opposing geopolitical blocs, such as the U.S.–Europe bloc vs. the China–Russia bloc.
- Nonaligned_{sd}: dummy, 1 if origin s or destination d belongs to a non-aligned country, such as Vietnam or Mexico.
- Post_t: $\text{Post}_t = 1$ after the Russia–Ukraine conflict in 2022, 0 for period before.

Table 1, Panel A: wider bloc, trade and FDI

	Trade		FDI	
	(1)	(2)	(3)	(4)
Between Bloc × Post War	-0.1059**	$\boxed{\text{-0.1212**}}$	-0.3614***	$\boxed{\text{-0.1309*}}$
	(0.041)	(0.058)	(0.071)	(0.074)
Nonaligned × Post War	0.0403	0.0043	-0.0025	-0.0942
	(0.030)	(0.051)	(0.046)	(0.077)
Observations	259,840	259,780	170,412	152,088
Country-pair FE	Y	Y	Y	Y
Time FE	Y	–	Y	–
Source × Time FE	N	Y	N	Y
Destination × Time FE	N	Y	N	Y

Under the wider bloc definition, trade and FDI between rival blocs fall relative to within bloc flows. Nonaligned pairs do not show the same pattern.

Table 1, Panel A: wider bloc, portfolio

	Portfolio	
	(5)	(6)
Between Bloc × Post War	-0.0417*	$\boxed{\text{-0.0540*}}$
	(0.025)	(0.028)
Nonaligned × Post War	-0.0212	-0.0363
	(0.021)	(0.031)
Observations	235,093	235,059
Country-pair FE	Y	Y
Time FE	Y	–
Source × Time FE	N	Y
Destination × Time FE	N	Y

Portfolio holdings also sort away from cross bloc pairs, supporting the paper's claim that fragmentation is not limited to goods markets.

Table 1, Panel A: wider bloc, Cold War benchmark

	Cold War trade	
	(7)	(8)
Between Bloc × Post War	-0.6092***	$\boxed{\text{-1.1076***}}$
	(0.163)	(0.110)
Nonaligned × Post War	-0.2612**	$\boxed{\text{-0.4641**}}$
	(0.110)	(0.235)
Observations	766,007	687,736
Country-pair FE	Y	Y
Time FE	Y	–
Source × Time FE	N	Y
Destination × Time FE	N	Y

Main Result

- For PPML trade and FDI estimates, convert coefficients using $\exp(\beta) - 1$.
- Trade: $\exp(-0.1212) - 1 = -11.4\%$.
- FDI projects: $\exp(-0.1309) - 1 = -12.3\%$.
- Portfolio holdings: the preferred coefficient implies about 0.5 percentage point lower cross bloc portfolio shares relative to within bloc holdings.
- The Cold War benchmark is around -67 percent for between bloc trade in the saturated model.

The result is moderate in size today, but broad across goods, investment, and financial portfolios.

Table 1, Panel B: narrower bloc, trade and FDI

	Trade		FDI	
	(1)	(2)	(3)	(4)
Between Bloc × Post War	-0.1562***	-0.1194	-0.6869***	-0.2697**
	(0.053)	(0.089)	(0.114)	(0.137)
Nonaligned × Post War	0.0207	0.0762	0.0129	0.1049
	(0.031)	(0.077)	(0.041)	(0.071)
Observations	284,765	284,706	178,464	159,388
Country-pair FE	Y	Y	Y	Y
Time FE	Y	–	Y	–
Source × Time FE	N	Y	N	Y
Destination × Time FE	N	Y	N	Y

The narrower classification is more conservative. The FDI shortfall remains clear, while trade becomes less precise once country time shocks are absorbed.

Table 1, Panel B: narrower bloc, portfolio

	Portfolio	
	(5)	(6)
Between Bloc × Post War	-0.1841**	$\boxed{-0.1763^{*}}$
	(0.078)	(0.101)
Nonaligned × Post War	-0.0146	-0.0366
	(0.034)	(0.042)
Observations	260,491	260,457
Country-pair FE	Y	Y
Time FE	Y	–
Source × Time FE	N	Y
Destination × Time FE	N	Y

The portfolio estimates remain negative under the narrower bloc definition. This supports the paper's claim that fragmentation is not limited to goods markets.

Robustness

Table S2.2: Trade, Investment and Portfolio Flows: Excluding the U.S. and China

Notes: The table reports the results of a gravity model using Poisson pseudo-maximum likelihood (PPML, columns 1-4, 7-8) and ordinary least squares (OLS, columns 5-6), where the dependent variable is: the bilateral trade in US dollars (columns 1-2 and 7-8); the number of announced FDI projects (columns 3-4); and the change in the share of portfolio assets (columns 5-6). Data are quarterly in columns 1-4, semiannual in columns 5-6, and annual in columns 7-8. The sample spans 2017:q1-2024:q1 (columns 1-2), 2008:q1-2024:q2 (columns 3-4), 2015:s1-2023-s2 (columns 5-6) and 1920-1990 (excluding World War II, 1939-1945, columns 7-8). The FDI analysis excludes country pairs with less than 5 investment projects over the sample period. Panel A excludes the U.S. from the sample, while panel B excludes China. The Post War variable identifies the period following Russia's invasion of Ukraine and is equal to 1 from 2022:q1 onwards. The Cold War dummy is equal to 1 for the years 1947-1990. The Between Bloc variable equals 1 if the source and destination country do not belong to the same geopolitical bloc, and 0 otherwise. The Nonaligned variable equals 1 if at least one country in the pair is nonaligned. In the current period, blocs are centered around the U.S. and China, with a group of countries remaining nonaligned. The bloc definition uses the Ideal Point Distance (a measure based on UNGA voting patterns computed by Bailey *et al.* (2017)) to assign countries into blocs. Standard errors in parenthesis are clustered at the source-destination pair level. ***, **, and * denote significance at the 1%, 5%, and 10% levels, respectively.

	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)
	Trade around the Russian invasion of Ukraine		FDI around the Russian invasion of Ukraine		Portfolio holdings around the Russian invasion of Ukraine		Trade during the Cold War	
	Panel A. Wider bloc definition, excluding the U.S.							
Between Bloc × Post War	-0.0904**	-0.0864**	-0.3690***	-0.2039***	-0.0121	-0.0324*	-0.3957***	-1.0171***
	(0.038)	(0.043)	(0.066)	(0.071)	(0.016)	(0.017)	(0.142)	(0.111)
Nonaligned × Post War	0.0710**	0.0329	-0.0166	-0.1986***	0.0034	-0.0269	-0.2546**	-0.5554**
	(0.031)	(0.042)	(0.038)	(0.071)	(0.015)	(0.022)	(0.116)	(0.223)
Observations	254,688	254,572	157,872	139,263	230,639	230,622	749,554	672,430
	Panel B. Wider bloc definition, excluding China							
Between Bloc × Post War	-0.1340**	-0.1300**	-0.3051***	0.0598	-0.0422	-0.0570*	-0.7904***	-1.1139***
	(0.059)	(0.054)	(0.103)	(0.079)	(0.026)	(0.030)	(0.198)	(0.119)
Nonaligned × Post War	0.0453	0.0145	0.0070	-0.0472	-0.0212	-0.0356	-0.2596**	-0.4705**
	(0.028)	(0.041)	(0.046)	(0.074)	(0.021)	(0.032)	(0.110)	(0.236)
Observations	254,660	254,589	160,512	142,297	230,656	230,622	754,667	676,457
Country-pair FE	Y	Y	Y	Y	Y	Y	Y	Y
Time FE	Y	-	Y	-	Y	-	Y	-
Source × Time FE	N	Y	N	Y	N	Y	N	Y
Destination × Time FE	N	Y	N	Y	N	Y	N	Y

Robustness

Table S2.3: FDI Flows Between Blocs: Value Instead of Count Data

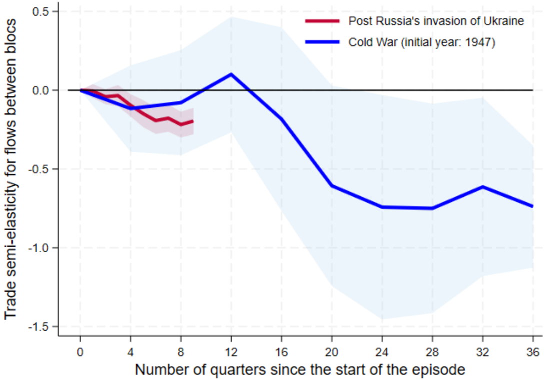
Notes: The table reports the results of a gravity model using Poisson pseudo-maximum likelihood where the dependent variable is the value (in USD) of announced FDI projects. Data are quarterly and the sample spans 2008:q1-2024:q2 and exclude country pairs with less than 5 investment projects over the sample period.The Post War variable identifies the period following Russia's invasion of Ukraine and is equal to 1 from 2022:q1 onwards. The Between Bloc variable equals 1 if the source and destination country do not belong to the same geopolitical bloc, and 0 otherwise. The Nonaligned variable equals 1 if at least one country in the pair is nonaligned. Blocs are centered around the U.S. and China, with a group of countries remaining nonaligned. The bloc definition uses the Ideal Point Distance (a measure based on UNGA voting patterns computed by Bailey *et al.* (2017)) to assign countries into blocs. Standard errors in parenthesis are clustered at the source-destination pair level. ***, **, and * denote significance at the 1%, 5%, and 10% levels, respectively.

	(1)	(2)
	FDI around the Russian invasion of Ukraine	
Between Bloc × Post War	-0.7613***	-0.3411**
	(0.166)	(0.162)
Nonaligned × Post War	-0.2104*	0.0883
	(0.112)	(0.236)
Observations	170,412	152,088
Country-pair FE	Y	Y
Time FE	Y	-
Source × Time FE	N	Y
Destination × Time FE	N	Y

Recall: Cold War benchmark

	Cold War trade	
	(7)	(8)
Between Bloc × Post War	-0.6092***	$\boxed{\text{-1.1076***}}$
	(0.163)	(0.110)
Nonaligned × Post War	-0.2612**	$\boxed{\text{-0.4641**}}$
	(0.110)	(0.235)
Observations	766,007	687,736
Country-pair FE	Y	Y
Time FE	Y	–
Source × Time FE	N	Y
Destination × Time FE	N	Y

Dynamics: current episode versus the Cold War

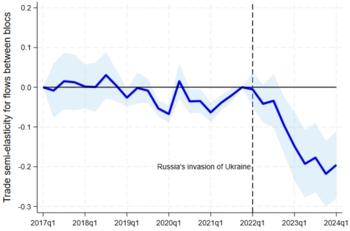


The current red line turns negative after the Ukraine war, but the Cold War blue line becomes far more negative over a longer horizon. The comparison implies early fragmentation rather than completed decoupling.

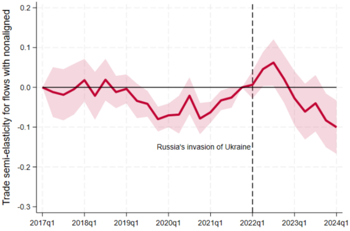
Nonaligned economies behave differently today

During the Cold War, nonaligned trade also weakened substantially. In the current period, nonaligned trade does not show the same broad collapse, which makes nonaligned countries central rather than peripheral.

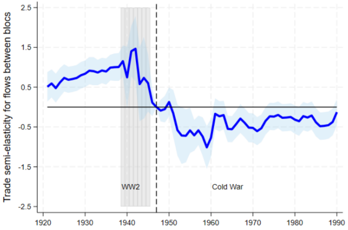
Timing of trade fragmentation



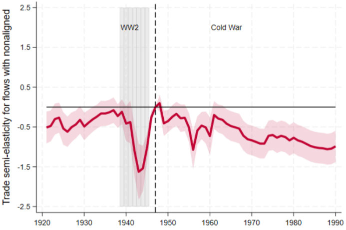
(a) Trade between blocs, now



(b) Trade with nonaligned, now

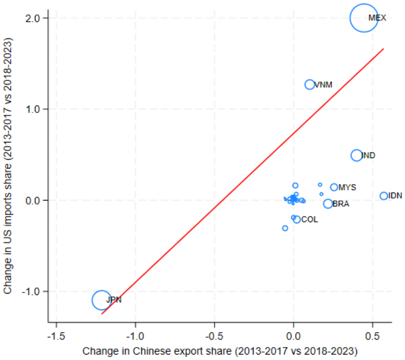


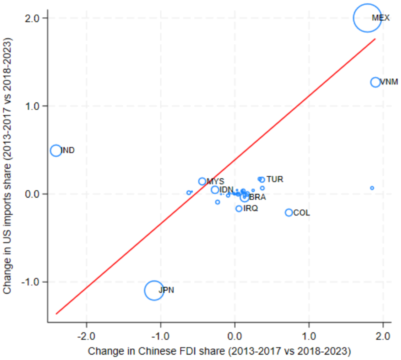
(c) Trade between blocs, Cold War



(d) Trade with nonaligned, Cold War

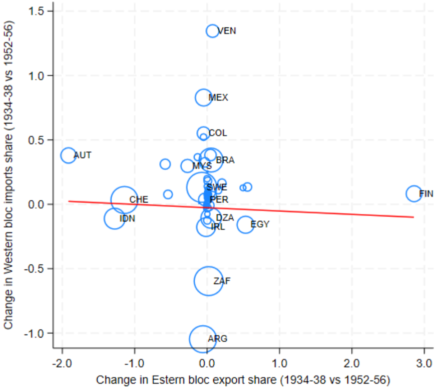
Connector countries: modern trade and FDI links





Panels A and C show a strong and economically large association between stronger Chinese presence in a country and deeper trade links with the United States. A 1 percentage point rise in US import share is associated with a 1.6 percentage point rise in Chinese export share and a 0.7 percentage point rise in Chinese FDI share.

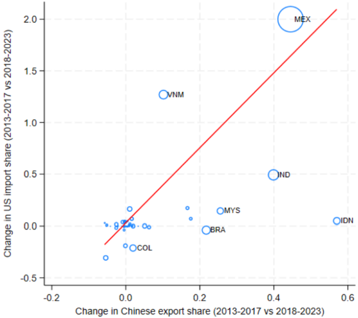
Connector countries: Cold War contrast



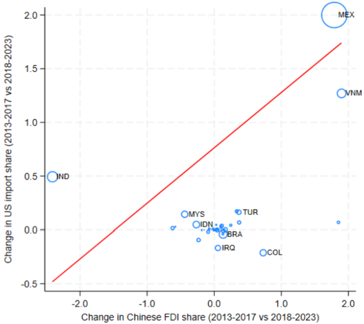
Panel B is the Cold War contrast: Western import share changes and Eastern export share changes are unrelated for nonaligned countries, so they did not operate as connectors between rival blocs.

Connector Countries

Figure S1.4: The Emergence of Connector Countries: Excluding Japan



(a) Change in US import shares vs Chinese export shares

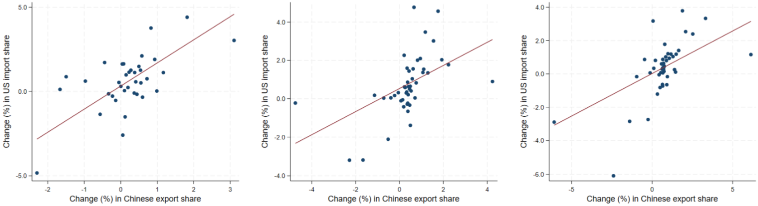


(b) Change in US import shares vs FDI from China

Notes: All panels include only nonaligned countries. Panel A plots the change in US import shares between 2018-2023 and 2013-2017 against the change in Chinese export shares over the same period. A weighted regressions (with the US imports in the pre-period as weights) with robust standard errors gives a slope equal to 3.628 (p-value = 0.001); n = 56. Panel B plots the change in US import shares between the period 2018-23 and the period 2013-17 against the change in Chinese outward FDI over the same period. A weighted regressions (with the US imports in the pre-period as weights) with robust standard errors gives a slope equal to 0.516 (p-value = 0.013); n = 44.
Sources: Trade Data Monitor; fDi Markets; and authors' calculations.

Connector Countries

Figure S1.6: The Emergence of Connector Countries: Product-level Analysis

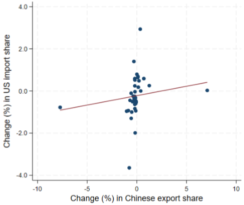


(a) HS2 product level (b) HS4 product level (c) HS6 product level

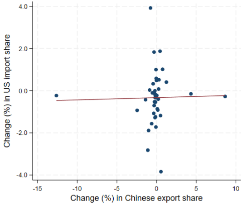
Notes: All panels include only nonaligned countries and products (defined at the HS 6-digit level) targeted by the tariffs imposed by the US administration on Chinese imports in 2018 and 2019. All panels plot the change in US import shares between 2018-2023 and 2013-2017 against the change in Chinese export shares over the same period. Panel A defines products at the 2-digit HS level, while panels B and C at the 4-digit and 6-digit HS levels, respectively. The charts are binned scatterplots that absorb product-level fixed effects and correspond to the results reported in Table S2.4, panel A, columns 1, 3 and 5.
Sources: UN Comtrade; and authors' calculations.

Connector Countries

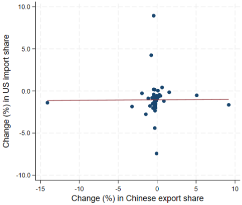
Figure S1.7: The Emergence of Connector Countries: Placebo Test



(a) HS2 product level



(b) HS4 product level



(c) HS6 product level

Notes: All panels include only nonaligned countries and products (defined at the HS 6-digit level) targeted by the tariffs imposed by the US administration on Chinese imports in 2018 and 2019. All panels plot the change in US import shares between 2013-2015 and 2010-2012 against the change in Chinese export shares over the same period. Panel A defines products at the 2-digit HS level, while panels B and C at the 4-digit and 6-digit HS levels, respectively. The charts are binned scatterplots that absorb product-level fixed effects and correspond to the results reported in Table S2.4, panel B, columns 1, 3 and 5.
Sources: UN Comtrade; and authors' calculations.

Conclusion

- Geoeconomic fragmentation is visible: trade, FDI, and portfolio positions between blocs have weakened relative to within bloc links.
- Fragmentation is not the same as deglobalization. Cold War and current evidence both show that between bloc decoupling can coexist with resilient aggregate trade.
- The mechanism has changed. Cold War resilience came mainly from within bloc integration and technology; today, connector countries reroute part of the adjustment.
- That creates a policy conundrum. De-risking may lower direct exposure, while connector routes leave underlying dependence partly intact and make supply chains longer, less transparent, and potentially more fragile.

Critical assessment

- UNGA voting based ideal point distance is a sensible bloc measure, but voting proximity is not the same as economic alignment, security ties, technology controls, or firm level supply chain exposure.
- Gross trade is an imperfect guide to ultimate exposure. If a connector imports Chinese inputs, does light processing, and exports to the United States, gross flows may overstate diversification away from China.
- The portfolio evidence should be read as CPIS evidence, not ultimate risk exposure. As Coppola et al. show, residency based statistics can assign offshore securities to the issuing affiliate rather than the parent country.
- The post 2022 window is still short. The estimates may capture an early adjustment phase; the effects could weaken if policy tensions ease, or strengthen if trade controls and investment screening broaden.

Takeaways

1. The evidence supports geopolitical sorting, not aggregate deglobalization.
2. The modern effect is far smaller than the historical Cold War benchmark.
3. Nonaligned countries are central because they may bridge rival blocs.
4. Connector countries make policy harder: direct exposure can fall while indirect exposure persists.
5. The unresolved macro question is welfare: who pays for a longer, more politicized global network?

This is not yet a new Cold War, but it is a measurable rewiring of globalization.